

Spread Your Bets

At Acorn our main emphasis is on picking companies rather than countries, but it's important to make some top-down judgments as well. You don't want much exposure in unstable countries. Too many people assume their money will be safe in places where they wouldn't drink the water. In assessing how comfortable we feel about investing in a country, we consider the usual factors of political risk, inflation and interest rates, balance of payments, and the like. We want to feel the country is on the right track.

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And because you can't eliminate all risk and still invest overseas, we diversify. We always maintain a certain amount of skepticism about our opinions in any case, whether we're investing domestically or abroad. We know we are fallible. So diversification is part of our faith. Acorn International owns stocks in forty countries, and Acorn itself, which has about a quarter of its portfolio in non-U.S. stocks, nearly as many. Obviously, with that many countries, some are classified as emerging markets, where diversification is particularly vital.

Companies often have to be judged differently in different countries. In Japan, for example, companies are mostly run by corporate types; faceless management is in charge. Elsewhere in Asia the businesses are run by families, and you have to find out whether or not the family has a reputation for integrity.

Though the big Wall Street houses are constantly adding to their research coverage of non-U.S. companies, I've tried as much as pos-